

Q3 2025 Earnings Call

Company Participants

- Leong Yung Chee, Chief Financial Officer
- Unidentified Speaker, Unknown
- Wee Ee Cheong, Chief Executive Officer

Other Participants

- Unidentified Participant, Unknown, Unknown

Presentation

Operator

Welcome to our Third Quarter '25 Results Media Briefing. Today, we have with us our Deputy Chairman and Group CEO, Mr. Wee Ee Cheong, and our Group CFO, Mr. Leong Yung Chee.

As usual, Mr. Wee will begin by giving a broad overview of how our franchise is done and the operating landscape we are operating in. And Mr. Leong will then go into more details on the financials and business performance. After both presentations, we will be taking questions from the media.

So, I'd like to invite our CEO to get us going. Mr. Wee, please.

Wee Ee Cheong {[BIO 1514516 <GO>](#)}

Good morning. Thank you again for joining us today. As all of you know, geopolitical developments are impacting business outlook. But we always see encouraging signs.

ASEAN continues to attract investments. Amid evolving tariff changes, we continue to see healthy intra-regional trade flows. While a softening rate environment is putting pressure on asset use, we see healthy loan growth and fee income.

Now, for the third quarter, we have reported a strong operating profit of SGD 1.9 billion. And we are happy with our performance for the first nine months, with healthy growth in loans, deposits, including CASA, wealth AUM, and fees. Now, from this position of strength, we have proactively set aside additional pre-emptive general allowances.

This substantially strengthens our provision coverage ratios, reinforcing resilience and flexibility to navigate headwinds and sustain long-term growth. And after building our coverage ratios, we retain a healthy capital position. By prioritizing balance sheet strength, we stand ready to act, support customers, and see strategic growth opportunities across the region.

Now, for our shareholders, we remain committed to our 2 billion share buyback, with almost one quarter of the program completed as of September 2025. There is no change to our policy of 50% dividend payout, and our 2025 final dividend will not, let me emphasize, will not be impacted by this pre-emptive general allowance. Our core franchise performance remains sound, with strong fundamentals and positive momentum quarter-on-quarter.

If we look at the loan growth, it was robust. 2% quarter-on-quarter, 5% year-on-year, and they are very broad-based. CASA, this is something that we have been always emphasizing, for both retail and wholesale banking, registered healthy growth.

For the first nine months, up 19% year-on-year. Our wealth management AUM grew strongly during the quarter. Quarter-on-quarter AUM up 8 billion, or 4% net new money.

And the invested AUM portions continue its upward trend. In terms of P&L, net interest income down 3% quarter-on-quarter. It was impacted by margin compression in a declining rate environment. But this was partially offset by healthy loan growth.

Gross fee income saw robust, broad-based growth across loan-related, parts and wealth management businesses. Up 8% quarter-on-quarter, 10% year-on-year.

Customer-related trade and investment income grew strongly. We maintained cost discipline, keep expenses flat while investing in growth initiatives. On the asset quality front, NPA formation and specific allowances were higher this quarter, due to a few accounts in the U.S. and Greater China commercial real estate sector. We conducted a thorough review of our portfolio.

As a proactive move to further strengthen our balance sheets, we took the opportunity to ramp up our provision buffers to cushion against any further headwinds. By setting aside general allowances of 0.6 billion, and raising our GP to performance ratio to 1%, which is higher than the 0.9% objective that we articulated previously. With this, our total NPA coverage improved to 100%, or 240%, including collaterals.

Now, following this exercise, we expect our total credit costs to normalize, with asset quality risks contained, barring any unexpected global volatility. Our balance sheet remains strong, with CET1 ratio of 14.6% and robust liquidity ratios. And we are very confident of delivering sustainable value for the long term.

Looking ahead, while no market is spared from external shocks, we believe ASEAN offers strong structural growth opportunities, and we are well positioned to capture them. We are staying focused on growing our franchise, and supporting businesses through our connectivity strategy. We are deepening relationships with our expanded retail base through wealth and lifestyle offerings. Investing in innovation to uplift productivity.

We are confident of executing our strategy, and achieving sustainable growth as we invest for the future. We are in a strong position moving into next year, with the following guidance. Low single-digit loan growth, full-year NIM of 1.75% to 1.8%. High single- to double-digit fee growth, driven by growth engine in wealth, cards, and trade. Low single-digit operating costs, total credit costs of 25 to 30 basis points.

Now, I will hand over to Young Chee to share more. Thank you.

Leong Yung Chee {[BIO](#) [16684348](#) <[GO](#)>}

Thank you, CEO. Good morning, everyone. I'll take you through the financials.

I will have 17 slides to walk through. What I will do is I'll spend a little bit more time on the summary slide and the highlights, and then I'll move a little bit faster through the rest of the slides. On the first slide, we walk you through the highlights.

And as CEO mentioned earlier to you, the macro picture today still has certain pockets of economic uncertainties. The benchmark rates have come lower. Asset yields continue to come under pressure.

But despite that, our businesses have continued to deliver on the strategies that they have articulated. Whether it be in the balance sheet, assets and deposits, loans and deposits rather, if

you look at the number of customers, our fee income, our trading income, our wealth AUM, our card fees, everything in those parameters have exhibited positive growth.

From that position of strength, our operating profit has proved resilient by generating SGD 1.9 billion. At the same time, our liquidity, capital and funding ratios have continued to stay strong and resilient. We have taken the opportunity in this backdrop to take the preemptive provision and bring our performing loans coverage to 1%.

Overall, the NPL ratio remains flat at 1.6%. I've mentioned that the coverage ratio has increased to 100% and including collateral, that's 240%. As CEO mentioned, the final dividend payout will not be impacted by this preemptive general allowance that we have decided to set aside.

Now, let me walk you through the third quarter's performance. On this page specifically, I've mentioned the SGD 1.9 billion. We focus on the fourth column, operating profit of SGD 1.9 billion. It's a drop of 3% quarter on quarter, it coincidentally is also a 3% comparison year-on-year. And this is primarily driven because of the net interest margin, the interest rate environment.

Our core fee drivers have continued to register resilient growth. Non-interest income has also risen 5%, backed by record high customer flows and treasury income.

Expenses have remained stable. Allowance, I've mentioned earlier on. We will discuss more in terms of this allowances in a slide later on.

I'll now bring you to the segmental performances [ph], first focusing on the retail business. Retail businesses profit before checks overall are stable at SGD 1.5 billion. It exhibited strong growth in our CASA and wealth businesses.

And income pressures were mitigated with strength in terms of our balance sheet growth in deposits and loans. If you notice, we mentioned earlier on that if you look at the CASA line, we've actually grown 19% year-on-year. In terms of our AUM growth, we have also taken an 8% up year-on-year with the invested portion from 37% of AUM a year ago, now it's 41%.

Net new money flows at SGD 5 billion for the quarter and our card billings grew 8% year-on-year. Asset quality remains strong with credit costs significantly lower than last year, this portfolio.

The operational portfolio [ph], which we talked about in Thailand last year, has this [ph].

I'll next move to the wholesale banking portfolio. Likewise, it has demonstrated broad-based growth in terms of loans and deposits growing 6% and 4% respectively.

And in the loans portfolio, our trade loans in particular grew 22%. Again, this cements the strategy that our wholesale banking team was focusing on.

And if you look at the CASA as a proportion of our deposit business, deposits grew 4%. The CASA portion is now at 57%.

Investment banking has maintained strong momentum with our fees reaching record levels. On a year-to-year basis, that has grown 29%. This diversified strategy has seen our income contribution. Regional footprint continues to deliver as we diversify our income streams.

The allowances has increased. This is primarily due to collateral markdowns for some non-systemic borrowers and preemptive provisions we have decided to proactively set aside.

I'll next talk about our global markets business. It has grown 22% year-on-year. And for this particular quarter, is our second highest performance on record.

This was driven primarily from continued client demands for hedging and investment solutions. The non-customer part of the income has also benefited because of a favorable cost of funds environment where our teams have managed to capture market opportunities across equities, foreign exchange, and rates, contributing to the overall performance.

Next, I'll talk briefly about net interest income and margins. In my summary slide, I did mention that the net interest income moderated 3% quarter-on-quarter. This was mitigated by asset growth.

If you look at the bottom box, we grew assets from \$479 billion to \$494 billion on a -- billion, sorry, on a quarterly basis. But on a nine-month basis, it was \$473 billion to \$491 billion.

The net interest margin did compress during this quarter by about nine basis points compared to last quarter. So if you recall, we had 1.91 in terms of our Q2 NIM. For Q3, it is 1.82. But what is important to note is the exit NIMs.

So, when we exited 2Q, it was 1.84. Our exit for this quarter is 1.82. So, in terms of the steepness of the decline in NIMs resulting from rates movement, you have seen that this has significantly slowed in terms of decline.

We do expect further pressures because there are further expected rate cuts, one more, we believe, for this year, and two more next year. But the downward trajectory, I think, has slowed significantly.

In this quarter, that 25 basis points drop in asset repricing primarily came from Sing dollar, which accounted for about 60 basis points, and from HIBOR, there was a positive 14. But there is some delays in repricing the HIBOR rebounds, which we expect to show up in the fourth quarter.

We have proactively managed our funding costs, and that has mitigated the drop in NIM, so that accounted for that green box of 16 basis points.

I'll speak briefly around fee income next. This slide shows gross fee income. So, if you look at gross fee income across all spectrums, overall, it grew 10%, but each of the components showed almost double-digit, high single digits or low double-digit growth over this period of time.

These fee drivers demonstrate a resilient growth led by activities such as wealth, particularly in unit trust and structured products, on the back of improved market sentiment and consumer optimism.

Card fees also sustained its full momentum. However, on card fees on a net basis, we took a harmonization of our rewards scheme in Thailand post the Citi integration. This was taken in 3Q effective 1st of October, which means that this normalization would be normalized into 4Q in 2026.

A little bit more background on that. Gula [ph], I noticed that you were raising eyebrows on that. So, when we had the rewards program, when we integrated the Citi franchise, the rewards redemption ratios were at different levels.

Citi's ratios were a little richer than ours. We brought that in line, although that still puts us competitive, still competitively ahead of market in Thailand. So, that rationalization was effective 1st of October.

The next page on expenses. Period-to-period, our expenses have actually come off, but on the cost to income ratio, it has ticked up from 44.3 to 45.2, simply because income numbers have come down, not because expenses have gone up. We continue to keep very tight cost management while continuing to invest in talent, technology, and innovation to drive our franchise expansion, meet regulatory requirements, and provide services for our customers.

The next page on non-performing assets. NPL ratio is unchanged at 1.6%. There was some new NPA formation this quarter, I mentioned earlier, to non-systemic accounts in selected markets. With the higher write-offs and recoveries, we have maintained proactive in reviewing and monitoring our credit portfolio for asset quality risks.

Next page. The \$0.6 billion that CEO mentioned earlier on, more specifically, it's \$615 million, this is a preemptive general provision. We did so because in the midst of reviewing our portfolio with the macroeconomic uncertainties and some sector-specific headwinds that we see, we wanted to build a stronger buffer for potential valuation adjustments going forward.

We do so today because our capital liquidity and funding ratios are in a position of strength. By doing this, we have brought our general provisions coverage from 0.8% to 1%. We've brought our NPA coverage from 88% to 100% and from the unsecured NPA coverage numbers from 209% to 240%.

The next page speaks briefly to the credit costs. The 32 basis points total credit costs from second quarter comes up to 134 basis points because of the preemptive allowances that we have put in place. We do expect, with this buffer, our credit cost levels will normalize from the fourth quarter and into 2026.

Next page, provisions coverage. I mentioned this briefly earlier on. The key numbers would be the general allowance on loans, 1%, the NPA coverage, 100%, unsecured NPA coverage, 240%.

Next page on the loan momentum in our balance sheet, it grew 5% year-on-year, 2% quarter-on-quarter. This was quite broad-based across geographies as well as industries. I mentioned earlier on, in particular within our loans, our trade loans continued to show the fastest growth, exhibiting 22% growth.

Next page, a little information on our funding situation. So, if you look at our LCR, our NSFR ratios, you look at our CASA to deposit ratios, these continue to demonstrate that our funding positions, liquidity positions remain healthy and comfortably above minimum regulatory requirements.

Last but not least, some information on our capital position at 14.6%, fully loaded at 14.5%, our capital position remains strong.

Questions around our share buyback, I think we've addressed earlier on. The 2 billion share buyback, we remain fully committed. As of September, we've executed 24% of that and this is way ahead of the trajectory if you drew simply a straight line from now to 2027.

Our payout ratio of 50% remains a commitment we make to shareholders. And I will emphasize again that the dividend payout for 2025 will not be impacted by our decision to set aside this preemptive general allowance.

With that, I conclude my presentation and we can take questions and answers [ph].

Questions And Answers

Operator

Yeah. Thank you, CFO.

We'll now take questions from the media. Any questions? Daniel [ph]?

Q - Unidentified Participant

Good morning. The questions will be on the allowances, right?

Because there's specific allowances and general allowances. General allowances, you mentioned there were separate sector specific. Can you mention what some of the sectors are and for the specific provisions, can you go a bit deeper into, I guess, the Greater China and United States commercial real estate clients that you mentioned earlier?

A - Leong Yung Chee {BIO 16684348 <GO>}

Yeah. Sure. The NPA formation and SP charges arose specifically from U.S. and Greater China CRE. Now, this actually of the total loan portfolio is a relatively small proportion but we still see continued headwinds in these two markets.

However, in the additional allowances also factors in something I mentioned to Gula [ph] before we started the call, which is by recognizing some of these recoveries that we are doing, actually it's accelerated some of the markdowns in the collaterals. Now, these flows can be chunky and it's very hard to predict in terms of a trajectory but by building this GP position, it allows us more room to cope with any sort of asset quality gyrations.

A - Wee Ee Cheong {BIO 1514516 <GO>}

And also, we see a U-shape coverage (inaudible). As I mentioned, these are all secured by setting up a pre-emptive provision that will give us time. Time to recover and also from the customer standpoint, we also work along with the customer. As a commercial bank, I think our primary job is to make sure that we are in a position to protect the interests of the customer.

That is important. Otherwise, it's very easy just to get rid of it. So, the general provision will give us the strength and also you look at the coverage is secured on the unsecured basis is 240%.

So, we have time while the earnings continue to be strong and robust. And we are not using that to penalize our shareholders too, right? So, for this, the shareholder will still get the pre-emptive general allowance, the dividend.

A - Leong Yung Chee {BIO 16684348 <GO>}

In Hong Kong, we do see selective interest coming back although it's not broad-based. So, residential, for example, I think is fairly stable but commercial real estate continues to be solved.

A - Wee Ee Cheong {BIO 1514516 <GO>}

Also, you look at the IPO market in Hong Kong, but it's going three times, like 25 billion (inaudible). So, there's still plenty of liquidity in the system, okay. The question now is at what point?

So, forget about the view. We just set aside first (inaudible).

Operator

I think Bloomberg has a question.

Q - Unidentified Participant

Okay. You said that you expect credit costs to normalize after this. Does that mean you think the worst is over? Or could there be more provisions ahead based on your U-shape?

A - Wee Ee Cheong {BIO 1514516 <GO>}

If I know everything, I will not be a banker. I will just -- if I go to a casino, but at the end of the day, I think if I have to take a calculated view, for the two markets we are operating in, I would say -- I would say the worst -- well, the worst is a U-shape kind of thing, right?

So, we are dealing with cash flow. We are dealing with assets. So, there's many factors when you talk about recovery.

But what is more important is we manage our balance sheet first. That is (inaudible) so, we can overcome if assuming we misjudge the situation. We are strong enough to take the headwind.

That is important. This is why we are talking about preemptive.

A - Leong Yung Chee {BIO 16684348 <GO>}

Maybe if I could add to that, if you look at the Hong Kong context, the loan-to-value of our portfolio is at 204%, right?

Q - Unidentified Participant

Forty-four.

A - Leong Yung Chee {BIO 16684348 <GO>}

Yes, 44%. With this buffer, actually, we are bringing our credit costs back in line with our guidance of 25 to 30, not just for this year, but also for 2026. So, Q4 and 2026, credit costs will be within the 25 to 30 basis points.

Now, big caveat here is the global market, as much as we can see in 2026, this is what we expect. With the normal caveats of barring any big market unforeseen volatility, I think that's deadly maze [ph].

A - Unidentified Speaker

(inaudible).

Q - Unidentified Participant

Yeah. So, also a follow-up question on the profit margin [ph].

A - Unidentified Speaker

Yeah.

Q - Unidentified Participant

Do you expect this to be something one-off or something that investors can like expect I think in the future? Like is there going to be another like provision for this large-sum?

A - Leong Yung Chee {BIO 16684348 <GO>}

This one no, yeah.

A - Unidentified Speaker

(inaudible).

Q - Unidentified Participant

Sorry, just to change the subject a little bit. You said the highball rebound hasn't been -- wasn't affected in the --

A - Leong Yung Chee {BIO 16684348 <GO>}

Yes.

Q - Unidentified Participant

-- didn't impact 3Q

A - Leong Yung Chee {BIO 16684348 <GO>}

Yeah.

Q - Unidentified Participant

Meaning that it should be better?

A - Leong Yung Chee {BIO 16684348 <GO>}

Yes.

Q - Unidentified Participant

Because --

A - Leong Yung Chee {BIO 16684348 <GO>}

The rebound actually happened around mid-August, right? So, some of those effects may have come through, but we don't think all of that repricing has actually been reflected into our 3Q numbers.

Q - Unidentified Participant

Absolutely. So --

A - Leong Yung Chee {BIO 16684348 <GO>}

That there is a lag effect in terms of the repricing of the portfolio. It should support the NIM into 4Q '25.

Operator

Yeah, back to Bloomberg.

Q - Unidentified Participant

Just looking at the unique positioning here that UOB has, because PVS, I mean, and other Singapore banks haven't made similar provisions necessarily. What are you seeing in commercial real estate today that they're --

A - Leong Yung Chee {BIO 16684348 <GO>}

I think the risk appetite as well as geographical focus of the three Singapore banks are different. I cannot comment on their areas of business. I think in the areas that we focused on, I think we have seen some upticks in the CRE portfolio within our books, but these are assets that we have already identified and flagged earlier on, and these are not new exposures.

So, we have not actually put on new exposures in real estate in these markets. We have continued to grow our balance sheet in these markets, but not in these sectors. So, I'll come back to the point again, which I mentioned to Pula [0:31:26] earlier, which is some of this is because of recoveries that we are executing right now.

When you do the recoveries, you end up marking the collaterals [ph] down. So, this is the reason why you see an uptick.

Q - Unidentified Participant

Okay, so the recoveries are with the CRE portfolio, so that those have to be marked down between (inaudible). And those recoveries, were they in Hong Kong and the U.S. as well?

A - Leong Yung Chee {BIO 16684348 <GO>}

It's a mix.

Q - Unidentified Participant

It's a mix of Hong Kong.

A - Leong Yung Chee {BIO 16684348 <GO>}

Yes.

Q - Unidentified Participant

So, the troublesome area is Hong Kong and the U.S.

A - Leong Yung Chee {BIO 16684348 <GO>}

I would say Greater China.

Q - Unidentified Participant

Greater China.

A - Leong Yung Chee {BIO 16684348 <GO>}

Yeah.

Q - Unidentified Participant

Can I just ask a question about excess liquidity, whether you will deploy in HQLA.

A - Leong Yung Chee {BIO 16684348 <GO>}

Yeah.

Q - Unidentified Participant

If you do, what currencies? Would they be Singapore, SJA Singapore Government Securities, or would it be (inaudible) U.S. Treasuries or somewhere else?

A - Leong Yung Chee {BIO 16684348 <GO>}

I think over the last couple of quarters with the pressures from NIM, I think we have seen that the logical thing to deploy some of the excess liquidity is actually to make sure you focus on a bit more of your NII as to, as opposed to keep defending where the NIM would be. Those excess capital would naturally be deployed to NSFR-friendly instruments.

Q - Unidentified Participant

Which are? (Inaudible).

A - Leong Yung Chee {BIO 16684348 <GO>}

It will be a combination.

Q - Unidentified Participant

Combination of? (Inaudible).

A - Leong Yung Chee {BIO 16684348 <GO>}

Currencies.

Q - Unidentified Participant

Currency. Is it -- you don't -- do you review the currency?

A - Leong Yung Chee {BIO 16684348 <GO>}

We don't review --

Q - Unidentified Participant

(Inaudible) report on the currency (inaudible).

A - Leong Yung Chee {BIO 16684348 <GO>}

I think it's not simply just bucketing into one or two types of currencies. I think you've got to look at the profile of our asset liability mix and you've got to be quite nimble in shifting between those pockets.

Q - Unidentified Participant

So including the region, because you are in the region.

A - Leong Yung Chee {[BIO 16684348 <GO>](#)}

Yeah.

Q - Unidentified Participant

(Inaudible). (Technical Difficulty)

Sorry, I just wanted to clarify the 615 million general allowance. Is this the largest single provision buffer that you've set aside in one quarter?

A - Leong Yung Chee {[BIO 16684348 <GO>](#)}

We did have one, I think in the COVID period.

A - Wee Ee Cheong {[BIO 1514516 <GO>](#)}

Yeah.

A - Leong Yung Chee {[BIO 16684348 <GO>](#)}

But I think it was a smaller amount, if I recall, yeah.

Q - Unidentified Participant

So this buffer is largely for U.S. and (inaudible)?

A - Leong Yung Chee {[BIO 16684348 <GO>](#)}

I think primarily.

Q - Unidentified Participant

Yeah.

A - Leong Yung Chee {[BIO 16684348 <GO>](#)}

But we have, again, a general allowance is actually set aside for us to have that flexibility to deal with markets volatility and challenges. So, I think while there are pockets in other markets, the primary areas or focus actually would be in those two markets.

Q - Unidentified Participant

So, there's this interest rate cycle in the U.S. --

A - Leong Yung Chee {[BIO 16684348 <GO>](#)}

Yeah.

Q - Unidentified Participant

At which -- to which Hong Kong is related, even the high ball has rebounded [ph].

A - Leong Yung Chee {[BIO 16684348 <GO>](#)}

Yes.

Q - Unidentified Participant

And the cost, the risk-free rate affects all these assets. So as the interest rate comes down and these assets rebound, would there be any -- would you look at writing back or if this is what you've done?

A - Wee Ee Cheong {BIO 1514516 <GO>}

Yeah, of course, definitely.

Q - Unidentified Participant

You would look at writing back?

A - Wee Ee Cheong {BIO 1514516 <GO>}

Definitely.

Q - Unidentified Participant

At the moment?

A - Leong Yung Chee {BIO 16684348 <GO>}

Some of this could be a write back, yes.

Q - Unidentified Participant

(Inaudible).

A - Leong Yung Chee {BIO 16684348 <GO>}

This is why we say it's a preemptive. This is not a total loss, right? Preemptive.

Q - Unidentified Participant

And this was for the third quarter. So this was based on before the latest interest rate cut. Do you use the valuations of before the interest rate cut?

A - Leong Yung Chee {BIO 16684348 <GO>}

Yes. Oh, it was about a week and a half ago. The last week, you're talking about U.S. rate cuts?

Q - Unidentified Participant

The U.S. rate cuts. We are down to the floor, right?

A - Leong Yung Chee {BIO 16684348 <GO>}

Yeah. U.S. rate cuts was, there was one cut about a week and a half ago and there's another one we expect for 4Q. And two more that we expect for 2026.

A - Wee Ee Cheong {BIO 1514516 <GO>}

Yeah, so again, this is preemptive, right? If you anticipate the rate is cutting. So hopefully, in fact, most of our investors, they are buying equity now.

They are more prone to buying equity because interest rate, everything is down. The bond is down. So hopefully, all this will translate to where we stay.

A - Leong Yung Chee {BIO 16684348 <GO>}

Other questions?

Q - Unidentified Participant

Yes, I have a question on expenses. I think my expenses are lower on tax and cost management. Can you explain a bit of what this tax and cost management means?

Are you going to cut back on certain spending? I don't like marketing or things like that. And then I guess also your outlook for hiring in the year ahead, right?

Are you expecting to maintain the same level of income? It's just because of the budget corporations as you mentioned earlier.

A - Leong Yung Chee {BIO 16684348 <GO>}

So the expenses that come off, it's a combination of various things that we are doing. I think you're right. We did really look at all the various expense buckets within the bank to see other excesses that we can further trim down.

And some of it is also sales-related expenses. So the fact that income comes down, sales comes down, you actually can trim some of the sales-related expenses. Aside from that, I think your other question was in terms of headcount and so on.

Our headcount posture remains stable. But what we have done is to actually focus on reinvesting some of the savings, cost savings, into productivity tools. So some of the investments have been in newer areas like Gen AI productivity tools that we're rolling out so that we can augment the productivity of our staff without actually tuning headcount from that perspective.

There is also a couple of things you need to keep in mind. Technology obsolescence and compliance costs continue to weigh heavily on us. So these are areas that we cannot compromise.

Technology obsolescence presents risk, not just to us, but our service to customers. Compliance, especially in the scheme of things now with heightened scams, frauds, and so on, AML/KYC matters. I think these are areas that we absolutely cannot compromise.

So what we have saved, we've actually reinvested. And although we marginally managed to brought the cost down, it still feels a little elevated in terms of a cost to income ratio perspective.

Q - Unidentified Participant

Can I just ask one question? In terms of overlays, you say you have about 1.5 billion and this would add a little bit, this would add something to it. Now, one of your peers that has a lot of overlay has actually said that they could consider releasing some if the earnings become very volatile.

But you've done, you're adding to it now. So I'm just trying to, in my own mind.

A - Leong Yung Chee {BIO 16684348 <GO>}

I think it's difficult to be clairvoyant about what we face in the year ahead. I think if you look at where we are in terms of trade policies, your political tensions and so on, the situation continues to have pockets where we can't see that clearly. Putting these in place allows us that flexibility to navigate, but it doesn't mean that we will use it.

And if we don't use it, it could be reversed. But putting that in place gives us confidence and also in a posture where if our customers require us to support them in their growth areas, we are in a position to do so.

Operator

If any of the media online have questions, please use the raise hand function and we'll call on you. But we can continue with those in the room as well.

Q - Unidentified Participant

So in terms of the region, are there any credit costs anywhere in the region that you see coming up? Or is the region, okay, because they've all lower interest rates, right? (inaudible)

A - Wee Ee Cheong {BIO 1514516 <GO>}

I would say quite stable, quite stable. I would say Thailand, a bit of a headwind, but I think generally it's okay, in overall scheme of things. And if you can see the growth without the currency translate.

Q - Unidentified Participant

The constant currency is (multiple speakers).

A - Wee Ee Cheong {BIO 1514516 <GO>}

Yeah, still growing.

A - Leong Yung Chee {BIO 16684348 <GO>}

And our exposures to the consumer markets in the region is more focused on our higher customer segments, whereas in Singapore it's broader based.

Q - Unidentified Participant

So the consumer, the retail bank and the consumer banking, is that more stable versus, because all the issues are on the wholesale side, that more stable than the corporate side? Is the retail banking more stable than the corporate banking at the (multiple speakers).

A - Wee Ee Cheong {BIO 1514516 <GO>}

Retail will be a more reflection of the overall economy, right? Because you cut across general population. The wholesale will be a little bit more chunky in nature, right?

So I would say, yes, in terms of diversification, retail will definitely, the segment that you're in is important. This is where employment situation, economy become very important. If you look at the Citibank portfolio, when we acquire, they are generally unsecured, but they're very focused on the segment that they want to focus.

A - Leong Yung Chee {BIO 16684348 <GO>}

If you are a barometer, we are the largest card issuer for Visa and Mastercard in the region. The 8.5 million customers we have, if you look at the gross card billings, they grew 8% year on year. So in terms of customer spendings and confidence in that franchise, I think it shows, right?

Now there are obviously a spread. It's roughly half in Singapore, half in the region, but it gives you a good sense that this diversified customer base across the region provides a level of stability for our retail franchise. Wholesale is a lot more susceptible, I think, to asset pricing pressures.

That, particularly in this environment, everyone is chasing higher quality companies, right? So there is intense competition in that space for sure.

Operator

We have a question from Timothy [ph] from Straits Times who's online, because his connection is bad, I'll just read out the question. Do the additional provisions cover SMEs or large corporations?

A - Leong Yung Chee {BIO 16684348 <GO>}

Across our portfolio.

Operator

Okay. Any other questions?

A - Wee Ee Cheong {BIO 1514516 <GO>}

Actually, provision is a very positive and it's quite a goal. Because you are buying, you are buying insurance, right? Right. We as an organization, I think, taking a long-term view, you don't just focus on P&L.

It's very easy to focus on P&L, right? Today, if you forget about the preemptive provision, then the number looks everything okay. But we are taking a view here to make sure that our balance sheet is continually strong, right?

And so that we are in a position, it's no different than during the COVID, we set aside 3 billion to help our customers. That will give the market a confidence, okay? And then we give ourselves time to react, to recover.

Q - Unidentified Participant

So if you had not set aside the 615 million, what would your net profit figure have been?

A - Wee Ee Cheong {BIO 1514516 <GO>}

Yeah, it would be a cross to a billion, I think.

Q - Unidentified Participant

Could it cover normalized?

A - Leong Yung Chee {BIO 16684348 <GO>}

Yeah, around a billion.

Q - Unidentified Participant

Around a billion?

A - Leong Yung Chee {[BIO 16684348 <GO>](#)}

Yeah. Some minor adjustments for techs and other things, but around a billion.

Q - Unidentified Participant

But that would have still gone down a few and quite a big year on year.

A - Leong Yung Chee {[BIO 16684348 <GO>](#)}

Definitely. That's right.

Operator

Ding [ph], do you want to ask one more?

Q - Unidentified Participant

Just one more. Can you, I mean, any chance you can give us any specific names or characterize the borrowers? Are these developers, office building owners?

A - Wee Ee Cheong {[BIO 1514516 <GO>](#)}

No, I don't think we are in a position to tell you exactly who. Then the next day, I will receive a call. Why?

Q - Unidentified Participant

But the techs, I mean, it is commercial real estate.

Yeah.

It is commercial.

A - Wee Ee Cheong {[BIO 1514516 <GO>](#)}

Residential, yeah, it's basically secured commercial real estate. That's what Yung Chee said. Average is quite low, right?

So we don't want to be in a position to force sales on certain things, right? We want to be in a position of strength, so that together with our customers. This is where you call franchise value, right?

Otherwise, when you have a crisis situation, the tendency is everyone to overreact. Do you want to do that? You have a property, I overreact, I sell?

No. We want to set aside. We want to be calm.

We want to be measured. That, to me, is important. So you have to look at it from the overall standpoint, rather than just focus on all.

I want to have a P&L. I want to protect my profit. I will sell everything just to make it right.

It's more than that.

Operator

Okay, if there's no other questions, thank you, everyone. And as usual, if you have any further questions later, do reach out to the communications team. Thank you and have a good day.

A - Leong Yung Chee {BIO 16684348 <GO>}

Thank you, everyone.

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